

BURLINGTON COMMUNITY SCHOOL DISTRICT
INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS

JUNE 30, 2017

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Burlington Community School District

Officials

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Board of Education		
Marlis Robberts	President	2019
Darven Kendell	Vice-President	2017
Dean Vickstrom	Board Member	2017
Linda Garwood	Board Member	2017
Bryan Bross	Board Member	2019
Heather Brueck	Board Member	2019
Deborah Hatteberg	Board Member	2019
School Officials		
Patrick Coen	Superintendent	2017
Greg Reynolds	Board Secretary/ Treasurer	2017
Ahlers & Cooney, P.C.	Attorney	2017

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Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

Independent Auditor's Report

To the Board of Education of Burlington Community School District:

Report on the Financial Statements

We have audited the accompanying financial statements of governmental activities, business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District, Burlington, Iowa, as of and for the year ended June 30, 2017, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles. This includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with U.S. generally accepted auditing standards and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business type activities, each major fund, and the aggregate remaining fund information of the Burlington Community School District at June 30, 2017, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with U.S. generally accepted accounting principles.

Other Matters

Required Supplementary Information.

U.S generally accepted accounting principles require Management's Discussion and Analysis, Budgetary Comparison Information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions and the Schedule of Funding Progress for the Retiree Health Plan on pages 7 through 15 and 46 through 51 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, which considers it to be an essential part of the financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with U.S. generally accepted auditing standards, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Burlington Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2016 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information included in Schedules 1 through 9, including the Schedule of Expenditures of Federal Awards required by Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the basic financial statements themselves, and other additional procedures in accordance with U.S. generally accepted auditing standards. In our opinion, the supplementary information, including the Schedule of Expenditures of Federal Awards, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, we have also issued our report dated March 12, 2018, on our consideration of the Burlington Community School District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of

our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering Burlington Community School District's internal control over financial reporting and compliance.

A handwritten signature in black ink, appearing to read "Nolte, Cornman & Johnson P.C.", written in a cursive, stylized script.

NOLTE, CORNMAN & JOHNSON, P.C.

March 12, 2018
Newton, Iowa

MANAGEMENT'S DISCUSSION AND ANALYSIS

Burlington Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2017. We encourage readers to consider this information in conjunction with the District's financial statements, which follow.

2017 FINANCIAL HIGHLIGHTS

- The District's total net position increased from \$55,090,058 at June 30, 2016 to \$56,629,576 at June 30, 2017. Total revenues increased from \$59,767,436 in fiscal year 2016 to \$59,406,962 in fiscal year 2017, a 0.60% decrease, while total expenses increased from \$56,526,223 in fiscal year 2016 to \$57,867,444 in fiscal year 2017, a 2.37% increase compared to the prior year.
- The District's General Fund revenues increased from \$50,564,182 in fiscal year 2016 to \$50,596,471 in fiscal year 2017, while General Fund expenditures increased from \$49,678,111 in fiscal year 2016 to \$50,250,699 in fiscal year 2017. The District's General Fund balance increased from \$11,061,585 at June 30, 2016 to \$11,407,357 at June 30, 2017, a 3.13% increase.
- The increase in fiscal year 2017 General Fund revenue is primarily due to an increase in federal revenue received while the increase in expenditures was due primarily to an increase in instruction costs incurred compared to the prior year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The Government-wide Financial Statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Burlington Community School District as a whole and present an overall view of the District's finances.

The Fund Financial Statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Burlington Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Burlington Community School District acts solely as an agent or custodian for the benefit of those outside of the School District.

Notes to Financial Statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required Supplementary Information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Funding Progress for the Retiree Health Plan.

Supplementary Information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides detail of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Burlington Community School District Annual Financial Report

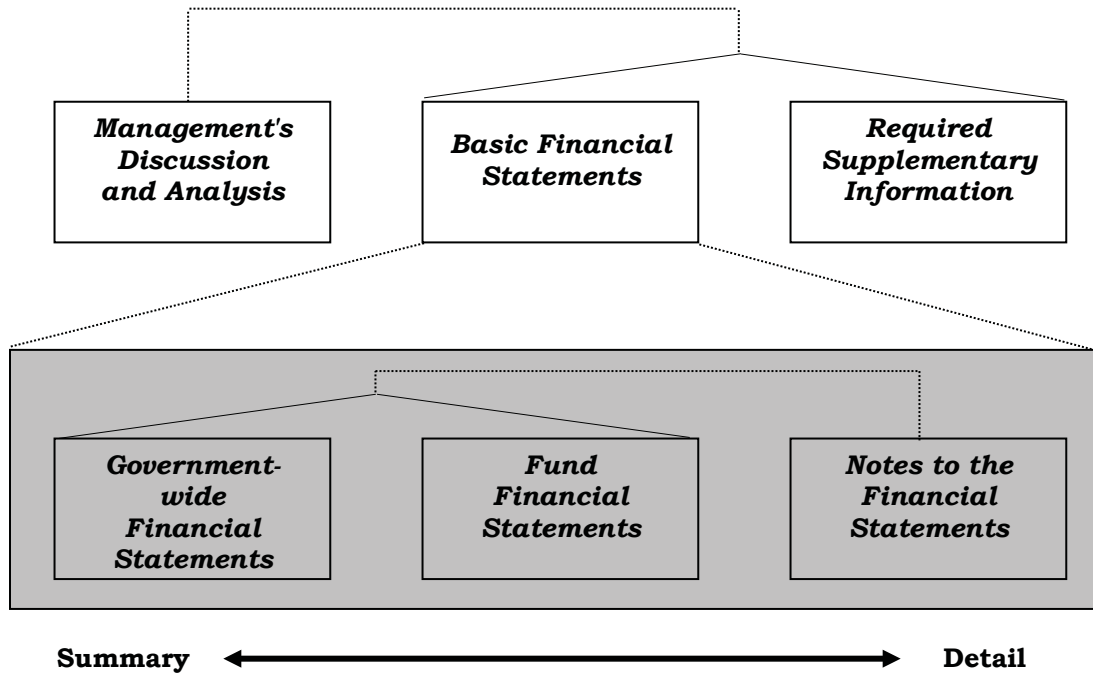


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2
Major Features of the Government-Wide and Fund Financial Statements

	Government-wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire district (except fiduciary funds)	The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance	Activities the district operates similar to private businesses, e.g., food service	Instances in which the district administers resources on behalf of someone else, such as scholarship programs
Required financial statements	• Statement of Net Position • Statement of Activities	• Balance Sheet • Statement of Revenues, Expenditures, and Changes in Fund Balances	• Statement of Net Position • Statement of Revenues, Expenses and Changes in Fund Net Position • Statement of Cash Flows	• Statement of Fiduciary Net Position • Statement of Changes in Fiduciary Net Position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally, assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid
Type of deferred outflow/inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/acquisition of net position that is applicable to a future reporting period
Type of inflow/outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's Net Position and how it has changed. Net Position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities:* Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- *Business type activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show that it is properly using certain revenues such as federal grants.

The District has three kinds of funds:

- 1) *Governmental funds:* Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for the governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) *Proprietary funds:* Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Fund, one type of proprietary fund, is the same as its business type activities, but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund. The District also utilizes an Internal Service Fund, one type of proprietary fund is the same as the District's governmental activities, but provides more detail and additional information such as cash flows. The District currently has one Internal Service Fund used to report activities associated with the District's employee cafeteria benefit plan.

The required financial statements for the proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Fund Net Position and a Statement of Cash Flows.

3) *Fiduciary funds*: The District is the trustee, or fiduciary, for assets that belong to others. This fund includes the Private Purpose Trust Fund.

- Private Purpose Trust Fund - The District accounts for outside donations for scholarships for individual students in this fund.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position at June 30, 2017 compared to June 30, 2016.

Figure A-3 Condensed Statement of Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	June 30		June 30,		June 30,		June 30,
	2017	2016	2017	2016	2017	2016	2016-17
Current and other assets	\$ 45,995,180	45,476,220	958,446	875,462	46,953,626	46,351,682	1.30%
Capital assets	75,706,491	76,716,151	91,953	104,632	75,798,444	76,820,783	-1.33%
Total assets	121,701,671	122,192,371	1,050,399	980,094	122,752,070	123,172,465	-0.34%
Deferred outflows of resources	6,878,026	3,474,732	167,205	86,781	7,045,231	3,561,513	97.82%
Long-term liabilities	50,451,403	46,953,470	635,115	507,141	51,086,518	47,460,611	7.64%
Other liabilities	7,652,085	8,090,357	65,734	61,180	7,717,819	8,151,537	-5.32%
Total liabilities	58,103,488	55,043,827	700,849	568,321	58,804,337	55,612,148	5.74%
Deferred inflows of resources	14,354,843	15,985,880	8,545	45,892	14,363,388	16,031,772	-10.41%
Net position:							
Net investment in capital assets	49,881,491	49,131,151	91,953	104,632	49,973,444	49,235,783	1.50%
Restricted	12,731,691	11,760,736	-	-	12,731,691	11,760,736	8.26%
Unrestricted	(6,491,816)	(6,254,491)	416,257	348,030	(6,075,559)	(5,906,461)	-2.86%
Total net position	\$ 56,121,366	54,637,396	508,210	452,662	56,629,576	55,090,058	2.79%

The District's total net position increased by 2.79%, or \$1,539,518, from the prior year. The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

Restricted net position represents resources that are subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$970,955 or 8.26% from the prior year. The increase in restricted net position is primarily a result of the increase in the amount restricted for physical plant and equipment when compared to the prior year.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - decreased \$169,098 or 2.86%. This decrease in unrestricted net position was primarily the result of the increase in pension expense recognized during the year.

Figure A-4 shows the changes in net position for the year ended June 30, 2017 compared to the year ended June 30, 2016.

Figure A-4 Changes in Net Position							
	Governmental Activities		Business Type Activities		Total District		Total Change
	2017	2016	2017	2016	2017	2016	2016-17
Revenues:							
Program revenues:							
Charges for service	\$ 1,252,126	1,149,369	420,192	425,862	1,672,318	1,575,231	6.16%
Operating grants, contributions and restricted interest	6,558,979	6,694,676	1,426,083	1,420,716	7,985,062	8,115,392	-1.61%
General revenues:							
Property tax	14,414,004	14,352,078	-	-	14,414,004	14,352,078	0.43%
Statewide sales, services and use tax	4,272,804	4,387,837	-	-	4,272,804	4,387,837	-2.62%
Unrestricted state grants	30,807,116	31,117,475	-	-	30,807,116	31,117,475	-1.00%
Unrestricted interest income	85,692	49,497	1,568	209	87,260	49,706	75.55%
Other	161,966	162,447	6,432	7,270	168,398	169,717	-0.78%
Total revenues	57,552,687	57,913,379	1,854,275	1,854,057	59,406,962	59,767,436	-0.60%
Program expenses:							
Instruction	35,409,644	34,106,177	-	-	35,409,644	34,106,177	3.82%
Support services	15,758,377	15,625,788	54,310	49,992	15,812,687	15,675,780	0.87%
Non-instructional programs	32,122	40,610	1,744,417	1,720,444	1,776,539	1,761,054	0.88%
Other expenses	4,868,574	4,983,212	-	-	4,868,574	4,983,212	-2.30%
Total expenses	56,068,717	54,755,787	1,798,727	1,770,436	57,867,444	56,526,223	2.37%
Change in net position	1,483,970	3,157,592	55,548	83,621	1,539,518	3,241,213	-52.50%
Net position beginning of year	54,637,396	51,479,804	452,662	369,041	55,090,058	51,848,845	6.25%
Net position end of year	\$ 56,121,366	54,637,396	508,210	452,662	56,629,576	55,090,058	2.79%

In fiscal year 2017, property tax, statewide sales, services and use tax and unrestricted state grants accounted for 86.00% of the revenue from governmental activities while charges for service and operating grants and contributions accounted for 99.57% of the revenue from business type activities.

The District's total revenues were approximately \$59.41 million, of which approximately \$57.55 million was for governmental activities and approximately \$1.86 million was for business type activities.

As shown in Figure A-4, the District as a whole experienced a 0.60% decrease in revenues and a 2.37% increase in expenses. The primary reason for the decrease in revenues was a decrease in unrestricted state grants. The increase in expenses is related to the increased expenses incurred in the instruction functional area compared to the prior year.

Governmental Activities

Revenues for governmental activities were \$57,552,687 and expenses were \$56,068,717 for the year ended June 30, 2017.

The following table presents the total and net cost of the District's major governmental activities, instruction, support services, non-instructional programs and other expenses, for the year ended June 30, 2017 compared to those expenses for the year ended June 30, 2016.

Figure A-5 Total and Net Cost of Governmental Activities						
	Total Cost of Services			Net Cost of Services		
	2017	2016	Change 2016-17	2017	2016	Change 2016-17
Instruction	\$ 35,409,644	34,106,177	3.82%	29,796,139	28,491,871	4.58%
Support services	15,758,377	15,625,788	0.85%	15,536,853	15,408,027	0.84%
Non-instructional programs	32,122	40,610	-20.90%	21,046	40,610	-48.18%
Other expenses	4,868,574	4,983,212	-2.30%	2,903,574	2,971,234	-2.28%
Totals	\$ 56,068,717	54,755,787	2.40%	48,257,612	46,911,742	2.87%

For the year ended June 30, 2017:

- The cost financed by users of the District's programs was \$1,252,126.
- Federal and state governments along with contributions from local sources subsidized certain programs with grants and contributions totaling \$6,558,979.
- The net cost of governmental activities was financed with \$14,414,004 in property tax, \$4,272,804 in statewide sales, services and use tax, \$30,807,116 in unrestricted state grants, \$85,692 in interest income, and \$161,966 in other general revenues

Business Type Activities

Revenues of the District's business type activities during the year ended June 30, 2017 were \$1,854,275, a 0.01% increase from the prior year, and expenses were \$1,798,727, a 1.60% increase from the prior year. The District's business type activities include the School Nutrition Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements, investment and other income.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Burlington Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$22,310,524, above last year's ending combined fund balances of \$21,198,912. The increase in combined fund balances is mainly attributable to the increase in fund balances of the General Fund and Capital Projects Fund.

Governmental Fund Highlights

- The General Fund balance increased from \$11,061,585 at June 30, 2016 to \$11,407,357 at June 30, 2017. Revenues increased from the prior year primarily due to an increase in revenues from federal sources; expenses for the year increased due to an increase in instruction costs incurred. Despite the increase in total expenditures, revenues continued to exceed expenses resulting in an increase in fund balance of \$345,772.

- The Capital Projects Fund balance increased from \$4,593,595 at June 30, 2016 to \$5,006,783 at June 30, 2017. Revenues did not vary significantly from the prior year. Expenditures increase primarily due to increased transfers for debt payments on the District's revenue bonds.
- The Debt Service Fund increased from \$3,440,631 at June 30, 2016 to \$3,691,895 at June 30, 2017. The Debt Service Fund is used to record principal and interest payments on the District's long term debt. Revenues and expenditures did not vary significantly from the prior year.

Proprietary Fund Highlights

The School Nutrition Fund net position increased from \$452,662 at June 30, 2016 to \$508,210 at June 30, 2017, representing an increase of 12.27%. Expenses increased slightly and revenues were nearly unchanged, revenues still outpaced expenses ensuring the improvement in fund net position.

BUDGETARY HIGHLIGHTS

The District's revenues were \$1,208,856 less than budgeted revenues, a variance of 1.99%. The most significant dollar variance resulted from the District receiving less from state sources than originally anticipated.

Total expenditures were less than budgeted, primarily due to the District's budget for the General Fund. It is the District's practice to budget expenditures using realistic projections based from prior year expenditures with a buffer built as to not exceed the annual budget. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed actual expenditures for the year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2017, the District had invested approximately \$75.80 million, net of accumulated depreciation, in a broad range of capital assets, including land, buildings, athletic facilities, computers, audio-visual equipment and transportation equipment. (See Figure A-6) This amount represents a net decrease of 1.33% from last year. More detailed information about capital assets is available in Note 6 to the financial statements. Depreciation expense for the year was \$2,592,659.

The original cost of the District's capital assets was approximately \$116.94 million. Governmental activities accounted for approximately \$116.31 million of the total with the remainder of approximately \$0.63 million accounted for in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the buildings category. The District's buildings totaled \$69,965,586 at June 30, 2016, compared to \$68,783,660 at June 30, 2017. This decrease resulted from the depreciation expense recognized during the year.

Figure A-6 Capital Assets, Net of Depreciation							
	Governmental Activities		Business Type Activities		Total School District		Total Change
	June 30,		June 30,		June 30,		June 30,
	2017	2016	2017	2016	2017	2016	2016-17
Land	\$ 3,036,734	3,036,734	-	-	3,036,734	3,036,734	0.00%
Construction in progress	36,560	70,205	-	-	36,560	70,205	-47.92%
Buildings	68,783,660	69,965,586	-	-	68,783,660	69,965,586	-1.69%
Land improvements	576,337	336,456	-	-	576,337	336,456	71.30%
Machinery and equipment	3,273,200	3,307,170	91,953	104,632	3,365,153	3,411,802	-1.37%
Total	\$ 75,706,491	76,716,151	91,953	104,632	75,798,444	76,820,783	-1.33%

Long-Term Debt

At June 30, 2017, the District had \$25,825,000 of total long-term debt outstanding. This represents a decrease of 6.38% from last year. (See Figure A-7) More detailed information about the District's long-term liabilities is available in Note 7 to the financial statements.

The District had outstanding revenue bonds of \$25,825,000 at June 30, 2017, payable from the Capital Projects: Statewide Sales, Services and Use Tax Fund.

Figure A-7			
Outstanding Long-Term Obligations			
Total		Total	
District		Change	
June 30,		June 30,	
2017	2016	2016-17	
Revenue bonds	\$ 25,825,000	27,585,000	-6.38%

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The State of Iowa has set the supplemental state aid for fiscal year 2018 at 1.11%, but has not set the supplemental state aid for fiscal year 2019 and beyond. The District's inability to predict future revenues will continue to have a significant impact on future budget discussions.
- The Iowa school funding formula is highly dependent upon student enrollment. Current and projected declines in enrollment will continue to negatively impact the District's revenues while costs are expected to increase.
- Annual fluctuations in enrollment and supplemental state aid present several budgetary challenges and the District will continue to explore options to maintain a balanced budget.
- The state of the economy at both the national and state level impact the District's general fund revenues as the state revenues support state school aid. While the economy has been slowly improving, future funding to schools will continue to be directly affected.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the Business and Finance Office, Burlington Community School District, 1429 West Avenue, Burlington, Iowa 52601.

Burlington Community School District

Basic Financial Statements

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2017

	Governmental Activities	Business Type Activities	Total
ASSETS			
Cash and pooled investments	\$ 28,494,757	896,550	29,391,307
Receivables:			
Property tax:			
Delinquent	132,519	-	132,519
Succeeding year	14,009,194	-	14,009,194
Accounts	34	-	34
Due from other governments	1,788,004	9,780	1,797,784
Prepaid expenses	7,002	-	7,002
Inventories	-	33,200	33,200
Internal balances	(4,831)	4,831	-
Net OPEB asset	1,568,501	14,085	1,582,586
Capital assets not being depreciated:			
Land and construction in progress	3,073,294	-	3,073,294
Capital assets, net of accumulated depreciation:			
Buildings, land improvements and machinery and equipment	72,633,197	91,953	72,725,150
TOTAL ASSETS	121,701,671	1,050,399	122,752,070
DEFERRED OUTFLOWS OF RESOURCES			
Pension related deferred outflows	6,878,026	167,205	7,045,231
LIABILITIES			
Accounts payable	2,633,771	2,505	2,636,276
Salaries and benefits payable	5,018,314	45,053	5,063,367
Unearned revenue	-	18,176	18,176
Long-term liabilities:			
Portion due within one year:			
Revenue bonds payable	1,815,000	-	1,815,000
Compensated absences payable	197,627	6,499	204,126
Portion due after one year:			
Revenue bonds payable	24,010,000	-	24,010,000
Net pension liability	24,428,776	628,616	25,057,392
TOTAL LIABILITIES	58,103,488	700,849	58,804,337
DEFERRED INFLOWS OF RESOURCES			
Unavailable property tax revenue	14,009,194	-	14,009,194
Pension related deferred inflows	345,649	8,545	354,194
TOTAL DEFERRED INFLOWS OF RESOURCES	14,354,843	8,545	14,363,388
NET POSITION			
Net investment in capital assets	49,881,491	91,953	49,973,444
Restricted for:			
Categorical funding	1,828,776	-	1,828,776
Debt service	3,691,895	-	3,691,895
Management levy purposes	897,407	-	897,407
Student activities	411,694	-	411,694
Support trust purposes	895,136	-	895,136
School infrastructure	3,530,647	-	3,530,647
Physical plant and equipment	1,476,136	-	1,476,136
Unrestricted	(6,491,816)	416,257	(6,075,559)
TOTAL NET POSITION	\$ 56,121,366	508,210	56,629,576

SEE NOTES TO FINANCIAL STATEMENTS.

**BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2017**

	Expenses	Program Revenues		Net (Expense) Revenue and Changes in Net Position		
		Charges for Service	Operating Grants, Contributions and Restricted Interest	Governmental Activities	Business Type Activities	Total
Functions/Programs:						
Governmental activities:						
Instruction:						
Regular	\$ 22,088,209	601,658	642,965	(20,843,586)	-	(20,843,586)
Special	8,250,044	315,290	1,540,501	(6,394,253)	-	(6,394,253)
Other	5,071,391	333,668	2,179,423	(2,558,300)	-	(2,558,300)
	<u>35,409,644</u>	<u>1,250,616</u>	<u>4,362,889</u>	<u>(29,796,139)</u>	<u>-</u>	<u>(29,796,139)</u>
Support services:						
Student	1,859,051	-	11,093	(1,847,958)	-	(1,847,958)
Instructional staff	2,582,622	-	44,430	(2,538,192)	-	(2,538,192)
Administration	5,740,882	-	65,246	(5,675,636)	-	(5,675,636)
Operation and maintenance of plant	4,041,734	-	28,696	(4,013,038)	-	(4,013,038)
Transportation	1,534,088	1,510	70,549	(1,462,029)	-	(1,462,029)
	<u>15,758,377</u>	<u>1,510</u>	<u>220,014</u>	<u>(15,536,853)</u>	<u>-</u>	<u>(15,536,853)</u>
Non-instructional programs:						
Food service operations	13,980	-	-	(13,980)	-	(13,980)
Other enterprise operations	62	-	-	(62)	-	(62)
Community service operations	18,080	-	11,076	(7,004)	-	(7,004)
	<u>32,122</u>	<u>-</u>	<u>11,076</u>	<u>(21,046)</u>	<u>-</u>	<u>(21,046)</u>
Long-term debt interest	<u>1,052,328</u>	<u>-</u>	<u>-</u>	<u>(1,052,328)</u>	<u>-</u>	<u>(1,052,328)</u>
Other expenses:						
AEA flowthrough	1,965,000	-	1,965,000	-	-	-
Depreciation(unallocated)*	1,851,246	-	-	(1,851,246)	-	(1,851,246)
	<u>3,816,246</u>	<u>-</u>	<u>1,965,000</u>	<u>(1,851,246)</u>	<u>-</u>	<u>(1,851,246)</u>
Total governmental activities	<u>56,068,717</u>	<u>1,252,126</u>	<u>6,558,979</u>	<u>(48,257,612)</u>	<u>-</u>	<u>(48,257,612)</u>
Business type activities:						
Support services:						
Administration	54,310	-	-	-	(54,310)	(54,310)
Non-instructional programs:						
Food service operations	1,744,417	420,192	1,426,083	-	101,858	101,858
Total business type activities	<u>1,798,727</u>	<u>420,192</u>	<u>1,426,083</u>	<u>-</u>	<u>47,548</u>	<u>47,548</u>
Total	<u>\$ 57,867,444</u>	<u>1,672,318</u>	<u>7,985,062</u>	<u>(48,257,612)</u>	<u>47,548</u>	<u>(48,210,064)</u>
General Revenues:						
Property tax levied for:						
General purposes				\$ 13,416,848	-	13,416,848
Capital outlay				997,156	-	997,156
Statewide sales, services and use tax				4,272,804	-	4,272,804
Unrestricted state grants				30,807,116	-	30,807,116
Unrestricted investment earnings				85,692	1,568	87,260
Other				161,966	6,432	168,398
Total general revenues				<u>49,741,582</u>	<u>8,000</u>	<u>49,749,582</u>
Change in net position				1,483,970	55,548	1,539,518
Net position beginning of year				<u>54,637,396</u>	<u>452,662</u>	<u>55,090,058</u>
Net position end of year				<u>\$ 56,121,366</u>	<u>508,210</u>	<u>56,629,576</u>

* This amount excludes the depreciation that is included in the direct expense of various programs.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2017

	General	Capital Projects	Debt Service	Nonmajor	Total
ASSETS					
Cash and pooled investments	\$ 16,041,813	4,679,178	5,085,784	2,233,106	28,039,881
Receivables:					
Property tax					
Delinquent	113,283	8,684	-	10,552	132,519
Succeeding year	11,283,628	969,070	-	1,756,496	14,009,194
Accounts	-	-	-	34	34
Due from other governments	1,433,133	354,871	-	-	1,788,004
Prepaid expenses	6,750	-	-	252	7,002
TOTAL ASSETS	\$ 28,878,607	6,011,803	5,085,784	4,000,440	43,976,634
LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES					
Liabilities:					
Accounts payable	\$ 1,169,308	31,119	1,393,889	39,455	2,633,771
Salaries and benefits payable	5,018,314	-	-	-	5,018,314
Due to other funds	-	4,831	-	-	4,831
Total liabilities	6,187,622	35,950	1,393,889	39,455	7,656,916
Deferred inflows of resources					
Unavailable revenues:					
Succeeding year property tax	11,283,628	969,070	-	1,756,496	14,009,194
Fund balances:					
Nonspendable	6,750	-	-	252	7,002
Restricted for:					
Categorical funding	1,828,776	-	-	-	1,828,776
Debt service	-	-	3,691,895	-	3,691,895
Management levy purposes	-	-	-	897,407	897,407
Student activities	-	-	-	411,694	411,694
Support trust purposes	-	-	-	895,136	895,136
School infrastructure	-	3,530,647	-	-	3,530,647
Physical plant and equipment	-	1,476,136	-	-	1,476,136
Assigned for special purposes	164,654	-	-	-	164,654
Unassigned	9,407,177	-	-	-	9,407,177
Total fund balances	11,407,357	5,006,783	3,691,895	2,204,489	22,310,524
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES	\$ 28,878,607	6,011,803	5,085,784	4,000,440	43,976,634

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 RECONCILIATION OF THE BALANCE SHEET - GOVERNMENTAL FUNDS
 TO THE STATEMENT OF NET POSITION
 JUNE 30, 2017

Total fund balances of governmental funds(page 20)	\$ 22,310,524
<i>Amounts reported for governmental activities in the Statement of Net Position are different because:</i>	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	75,706,491
Blending of the Internal Service Fund to be reflected on an entity-wide basis.	454,876
Other postemployment benefits are not available to finance expenditures of the current fiscal year.	1,568,501
Pension related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:	
Deferred outflows of resources	\$ 6,878,026
Deferred inflows of resources	<u>(345,649)</u>
	6,532,377
Long-term liabilities, including revenue bonds payable, net pension liability and compensated absences payable are not due and payable in the current year and, therefore, are not reported in the governmental funds.	<u>(50,451,403)</u>
Net position of governmental activities(page 18)	<u>\$ 56,121,366</u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2017

	General	Capital Projects	Debt Service	Nonmajor	Total
Revenues:					
Local sources:					
Local tax	\$ 12,283,512	997,156	-	1,133,336	14,414,004
Tuition	734,594	-	-	-	734,594
Other	369,061	63,690	17,541	410,186	860,478
State sources	33,523,454	4,303,821	-	30,486	37,857,761
Federal sources	3,685,850	-	-	-	3,685,850
Total revenues	50,596,471	5,364,667	17,541	1,574,008	57,552,687
Expenditures:					
Current:					
Instruction:					
Regular	21,219,297	-	-	713,633	21,932,930
Special	8,197,497	-	-	-	8,197,497
Other	4,714,465	-	-	323,928	5,038,393
	34,131,259	-	-	1,037,561	35,168,820
Support services:					
Student	1,846,069	-	-	16,552	1,862,621
Instructional staff	1,987,992	466,271	-	20,298	2,474,561
Administration	5,452,589	-	-	107,407	5,559,996
Operation and maintenance of plant	3,698,082	54,540	-	203,305	3,955,927
Transportation	1,151,628	264,164	-	73,455	1,489,247
	14,136,360	784,975	-	421,017	15,342,352
Non-instructional programs:					
Food service operations	-	-	-	13,980	13,980
Other enterprise operations	-	-	-	62	62
Community service operations	18,080	-	-	-	18,080
	18,080	-	-	14,042	32,122
Capital outlay	-	1,120,453	-	-	1,120,453
Long-term debt:					
Principal	-	-	1,760,000	-	1,760,000
Interest and fiscal charges	-	-	1,052,328	-	1,052,328
	-	-	2,812,328	-	2,812,328
Other expenditures:					
AEA flowthrough	1,965,000	-	-	-	1,965,000
Total expenditures	50,250,699	1,905,428	2,812,328	1,472,620	56,441,075
Excess(deficiency)of revenues over(under) expenditures	345,772	3,459,239	(2,794,787)	101,388	1,111,612
Other financing sources(uses):					
Transfer in	-	-	3,046,051	-	3,046,051
Transfer out	-	(3,046,051)	-	-	(3,046,051)
Total other financing sources(uses)	-	(3,046,051)	3,046,051	-	-
Change in fund balances	345,772	413,188	251,264	101,388	1,111,612
Fund balances beginning of year	11,061,585	4,593,595	3,440,631	2,103,101	21,198,912
Fund balances end of year	\$ 11,407,357	5,006,783	3,691,895	2,204,489	22,310,524

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS
TO THE STATEMENT OF ACTIVITIES
YEAR ENDED JUNE 30, 2017

Change in fund balances - total governmental funds(page 22) \$ 1,111,612

***Amounts reported for governmental activities in the
Statement of Activities are different because:***

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. Capital outlay expenditures, depreciation expense and loss on disposal for the current year are as follows:

Capital outlay	\$ 1,575,354	
Depreciation expense	(2,574,664)	
Loss on disposal of capital assets	<u>(10,350)</u>	(1,009,660)

Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position.

1,760,000

The current year District IPERS contributions are reported as expenditures in the governmental funds but are reported as deferred outflows of resources in the Statement of Net Position.

2,489,697

Net change in the Internal Service Fund charged back against expenditures made for self-funded insurance on an entity-wide basis.

324,134

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.

Compensated absences	(41,327)	
Pension expense	(2,981,848)	
Other postemployment benefits	<u>(168,638)</u>	<u>(3,191,813)</u>

Change in net position of governmental activities(page 19) \$ 1,483,970

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2017

	Business Type Activities: Enterprise Fund School Nutrition	Governmental Activities: Internal Service Fund
ASSETS		
Current assets:		
Cash and pooled investments	\$ 896,550	454,876
Due from other governments	9,780	-
Due from other funds	4,831	-
Inventories	33,200	-
Total current assets	944,361	454,876
Noncurrent assets:		
Net OPEB asset	14,085	-
Capital assets, net of accumulated depreciation	91,953	-
Total noncurrent assets	106,038	-
TOTAL ASSETS	1,050,399	454,876
DEFERRED OUTFLOWS OF RESOURCES		
Pension related deferred outflows	167,205	-
LIABILITIES		
Current liabilities:		
Accounts payable	2,505	-
Salaries and benefits payable	45,053	-
Unearned revenue	18,176	-
Total current liabilities	65,734	-
Noncurrent liabilities:		
Compensated absences	6,499	-
Net pension liability	628,616	-
Total noncurrent liabilities	635,115	-
TOTAL LIABILITIES	700,849	-
DEFERRED INFLOWS OF RESOURCES		
Pension related deferred inflows	8,545	-
NET POSITION		
Net investment in capital assets	91,953	-
Unrestricted	416,257	454,876
TOTAL NET POSITION	\$ 508,210	454,876

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2017

	Business Type Activities: Enterprise Fund School Nutrition	Governmental Activities: Internal Service Fund
Operating revenues:		
Local sources:		
Charges for service	\$ 420,192	-
Miscellaneous	6,432	7,128,970
Total operating revenues	426,624	7,128,970
Operating expenses:		
Support services:		
Administration:		
Salaries	32,313	-
Benefits	5,500	-
Services	14,592	-
Supplies	1,905	-
Total support services	54,310	-
Non-instructional programs:		
Food service operations:		
Salaries	687,640	-
Benefits	179,185	-
Services	1,933	-
Supplies	857,476	-
Depreciation	17,995	-
Other	188	-
	1,744,417	-
Other enterprise operations:		
Benefits	-	6,804,836
Total non-instructional programs	1,744,417	6,804,836
Total operating expenses	1,798,727	6,804,836
Operating income(loss)	(1,372,103)	324,134
Non-operating revenues:		
State sources	14,623	-
Federal sources	1,411,460	-
Interest income	1,568	-
Total non-operating revenues	1,427,651	-
Change in net position	55,548	324,134
Net position beginning of year	452,662	130,742
Net position end of year	\$ 508,210	454,876

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED JUNE 30, 2017

	Business Type Activities: Enterprise Fund School Nutrition	Governmental Activities: Internal Service Fund
Cash flows from operating activities:		
Cash received from sale of lunches and breakfasts	\$ 370,736	-
Cash received from sales to other entities	50,558	-
Cash received from miscellaneous operating activities	6,432	7,128,970
Cash payments to employees for services	(888,647)	-
Cash payments to suppliers for goods or services	(739,224)	(6,804,836)
Net cash provided by(used in) operating activities	(1,200,145)	324,134
Cash flows from non-capital financing activities:		
Due from Capital Projects	(4,831)	-
State grants received	14,623	-
Federal grants received	1,271,448	-
Net cash provided by non-capital financing activities	1,281,240	-
Cash flows from capital activities:		
Acquisition of capital assets	(5,316)	-
Cash flows from investing activities:		
Interest on investments	1,568	-
Net increase in cash and pooled investments	77,347	324,134
Cash and pooled investments beginning of year	819,203	130,742
Cash and pooled investments end of year	\$ 896,550	454,876
Reconciliation of operating income(loss) to net cash provided by(used in) operating activities:		
Operating income(loss)	\$ (1,372,103)	324,134
Adjustments to reconcile operating income(loss) to net cash provided by(used in) operating activities:		
Commodities consumed	138,592	-
Depreciation	17,995	-
Increase in inventories	(2,848)	-
Increase in accounts payable	1,126	-
Increase in salaries and benefits payable	2,326	-
Increase in deferred revenue	1,102	-
Increase in compensated absences	244	-
Decrease in net OPEB asset	3,462	-
Increase in net pension liability	127,730	-
Increase in deferred outflows of resources	(80,424)	-
Decrease in deferred inflows of resources	(37,347)	-
Net cash provided by(used in) operating activities	\$ (1,200,145)	324,134

NON-CASH INVESTING, CAPITAL AND RELATED FINANCING ACTIVITIES:

During the year ended June 30, 2017, the District received Federal commodities valued at \$138,592.

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUND
JUNE 30, 2017

	<u>Private Purpose Trust Scholarship</u>
ASSETS	
Cash and pooled investments	<u>\$ 85,684</u>
LIABILITIES	
Accounts payable	<u>7</u>
NET POSITION	
Held in trust for scholarships	<u><u>\$ 85,677</u></u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
YEAR ENDED JUNE 30, 2017

	<u>Private Purpose Trust Scholarship</u>
ADDITIONS:	
Local sources:	
Gifts and contributions	\$ 853
Interest income	134
TOTAL ADDITIONS	<u>987</u>
DEDUCTIONS:	
Instruction:	
Regular:	
Scholarships awarded	<u>4,782</u>
Change in net position	(3,795)
Net position beginning of year	<u>89,472</u>
Net position end of year	<u>\$ 85,677</u>

SEE NOTES TO FINANCIAL STATEMENTS.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2017

Note 1. Summary of Significant Accounting Policies

Burlington Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical and recreational courses. The geographic area served includes the City of Burlington, Iowa, and the predominate agricultural territory in Des Moines County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Government Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Burlington Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District. The Burlington Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations - The District participates in a jointly governed organization that provides services to the District but do not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Des Moines County Assessors' Conference Board.

B. Basis of Presentation

Government-wide Financial Statements - The Statement of Net Position and the Statement of Activities report information on all of the activities of the District, with omission of the fiduciary funds. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows or resources, liabilities and deferred inflows or resources, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted net position.

Unrestricted net position consists of net position not meeting the definition of the two preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements - Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenses, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The Debt Service Fund is utilized to account for the property tax and other revenues to be used for the payment of interest and principal on the District's general long-term debt.

The District also reports the following non-major proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the food service operations of the District.

The Internal Service Fund is used to account for the flexible health program offered by the District. The Internal Service Fund is charged back to the governmental funds and shown combined in the Statement of Net Position and the Statement of Activities.

The District also reports fiduciary funds which focus on net position and changes in net position. The District's fiduciary fund is as follows:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

C. Measurement Focus and Basis of Accounting

The government-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs, and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's Enterprise Fund is charges to customers for sales and services. Operating expenses for Enterprise Funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

The District maintains its financial records on the cash basis. The financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

D. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity

Cash, Pooled Investments and Cash Equivalents - The cash balance of most District funds are pooled and invested. Investments are stated at fair value except for the investments in the Iowa Schools Joint Investment Trust and The Education Liquidity Fund which are valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable - Property taxes in governmental funds are accounted for using the modified accrual basis of accounting.

Property tax revenue receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes

certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget by April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1½% per month penalty for delinquent payments; is based on January 1, 2015 assessed property valuations; is for the tax accrual period July 1, 2016 through June 30, 2017 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2016.

Due from Other Governments - Due from other governments represents the amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Prepaid Expenses - Representing deposits on the District's flex spending program and payments for services not provided.

Inventories - Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Capital Assets - Capital assets, which include property, machinery, equipment, and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ -
Buildings	5,000
Land improvements	5,000
Intangibles	100,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other machinery and equipment	5,000

Capital assets are depreciated using the straight line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	2 or more years
Machinery and equipment	5-12 years

Deferred Outflows of Resources - Deferred outflows of resources represent a consumption of net position that applies to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

Salaries and Benefits Payable - Payroll and related payroll taxes and benefits for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned Revenues - Unearned revenues are monies collected for lunches that have not yet been served. The lunch account balances will either be reimbursed or served lunches. The lunch account balances are reflected on the Statement of Net Position in the Proprietary, School Nutrition Fund.

Long-term Liabilities - In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Compensated Absences - District employees accumulate a limited amount of earned but unused vacation benefits payable to employees. Compensated absences are reported in governmental funds only if they have matured. The cost of vacation payments expected to be liquidated currently is recorded as a long-term liability on the Statement of Net Position and will be paid in the future out of the General Fund. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2017. The compensated absences liability attributable to the governmental activities will be primarily paid by the General Fund. Compensated absences attributable to the business type activities will be paid by the School Nutrition Fund.

Pensions - For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Deferred Inflows of Resources - Deferred inflows of resources represent an acquisition of net position that applies to future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collectible within the current year or soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represents the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources consist of property tax receivable and other receivables not collected within sixty days after year end.

Deferred inflows of resources in the Statement of Net Position consists of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and the unamortized portion of the net difference between projected and actual earnings on pension plan investments.

Fund Equity - In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable - Amounts which cannot be spent because they are legally or contractually required to be intact or are not expected to be converted to cash.

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Assigned - Amounts the District management intends to use for specific purposes.

Unassigned - All amounts not included in the preceding classifications.

E. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as Required Supplementary Information.

Note 2. Cash and Pooled Investments

The District's deposits in banks at June 30, 2017 were entirely covered by federal depository insurance or by the State sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

At June 30, 2017, the District had investments in the Iowa Schools Joint Investment Trust Direct Governmental Obligation Portfolio and The Education Liquidity Fund. These investments are valued at an amortized cost of \$12,805,130 and \$2,505,663 respectively, pursuant to Rule 21-7 under the Investment Company Act of 1940. There were no limitations or restrictions on the withdrawals of the ISJIT investments. The investments in the Iowa Schools Investment Trust were rated AAAM by Standard & Poor's Financial Services. The investments in The Education Liquidity Fund are registered and not subject to rating.

The District has no investments meeting the disclosure requirements of Governmental Accounting Standards Board Statement No. 72.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2017 is as follows:

Transfer to	Transfer from	Amount
Debt Service	Capital Projects: Statewide Sales, Services and Use Tax	<u>\$ 3,046,051</u>

The transfer from the Capital Projects: Statewide Sales, Services and Use Tax Fund to the Debt Service Fund was for principal and interest payments on the District's revenue bonded indebtedness.

Note 4. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$1,965,000 for the year ended June 30, 2017 and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

Note 5. Construction Commitments

The District has entered into contracts for various construction and building improvement projects around the District. As of June 30, 2017, costs of \$36,560 had been incurred against the contracts. The balance remaining will be paid as work on the projects progresses.

Note 6. Capital Assets

Capital assets activity for the year ended June 30, 2017 was as follows:

	Balance Beginning of of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 3,036,734	-	-	3,036,734
Construction in progress	70,205	36,560	70,205	36,560
Total capital assets not being depreciated	3,106,939	36,560	70,205	3,073,294
Capital assets being depreciated:				
Buildings	91,841,870	639,192	-	92,481,062
Land improvements	1,069,271	270,009	-	1,339,280
Machinery and equipment	18,730,385	699,798	13,788	19,416,395
Total capital assets being depreciated	111,641,526	1,608,999	13,788	113,236,737
Less accumulated depreciation for:				
Buildings	21,876,284	1,821,118	-	23,697,402
Land improvements	732,815	30,128	-	762,943
Machinery and equipment	15,423,215	723,418	3,438	16,143,195
Total accumulated depreciation	38,032,314	2,574,664	3,438	40,603,540
Total capital assets being depreciated, net	73,609,212	(965,665)	10,350	72,633,197
Governmental activities capital assets, net	\$ 76,716,151	(929,105)	80,555	75,706,491
Business type activities:				
Machinery and equipment	\$ 626,453	5,316	-	631,769
Less accumulated depreciation	521,821	17,995	-	539,816
Business type activities capital assets, net	\$ 104,632	(12,679)	-	91,953

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction:	
Regular	\$ 287,023
Support services:	
Administration	66,627
Operation and maintenance of plant	110,421
Transportation	259,347
	723,418
Unallocated depreciation	1,851,246
Total governmental activities depreciation expense	\$ 2,574,664
Business type activities:	
Food service operations	\$ 17,995

Note 7. Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2017 are summarized as follows:

	Balance Beginning of Year	Additions	Deletions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 27,585,000	-	1,760,000	25,825,000	1,815,000
Compensated absences	156,300	197,627	156,300	197,627	197,627
Net pension liability	19,212,170	5,216,606	-	24,428,776	
Total	<u>\$ 46,953,470</u>	<u>5,414,233</u>	<u>1,916,300</u>	<u>50,451,403</u>	<u>2,012,627</u>
Business type activities:					
Compensated absences	\$ 6,255	6,499	6,255	6,499	6,499
Net pension liability	500,886	127,730	-	628,616	-
Total	<u>\$ 507,141</u>	<u>134,229</u>	<u>6,255</u>	<u>635,115</u>	<u>6,499</u>

Revenue Bonds

Details of the District's June 30, 2017 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year Ending June 30,	Bond issue of March 1, 2009 Series A			Bond issue of March 1, 2009 Series B		
	Interest		Principal	Interest		Principal
	Rate	Interest		Rate	Interest	
2018	4.81%	\$ -	282,296	4.85%	\$ -	251,848
2019	4.81	-	282,296	4.85	-	251,847
2020	4.81	-	282,296	4.85	-	251,848
2021	4.375	475,000	271,905	4.60	610,000	251,847
2022	4.60	870,000	241,505	4.65	825,000	223,788
2023-2027	4.70-5.10	4,530,000	538,599	4.80-5.00	3,760,000	483,550
2028-2029		-	-		-	-
Total		<u>\$ 5,875,000</u>	<u>1,898,897</u>		<u>\$ 5,195,000</u>	<u>1,714,728</u>

Year Ending June 30,	Bond issue of December 1, 2009 Series C			Bond issue of December 12, 2012 Partial Advance Refunding 2009 Series A & B			Total		
	Interest		Principal	Interest		Principal	Interest	Principal	Total
	Rate	Interest		Rate	Interest				
2018	4.00%	\$ 1,595,000	222,192	2.000%	\$ 220,000	221,341	1,815,000	977,677	2,792,677
2019	4.00	1,635,000	157,993	1.375	225,000	217,285	1,860,000	909,421	2,769,421
2020	4.10	1,680,000	91,672	1.625	230,000	214,013	1,910,000	839,829	2,749,829
2021	4.25	645,000	33,106	2.000	240,000	210,010	1,970,000	766,868	2,736,868
2022	4.50	95,000	11,588	2.000	250,000	205,160	2,040,000	682,041	2,722,041
2023-2027	4.50	185,000	10,575	2.10-2.50	3,145,000	926,914	11,620,000	1,959,638	13,579,638
2028-2029		-	-	2.50-3.00	4,610,000	153,938	4,610,000	153,938	4,763,938
Total		<u>\$ 5,835,000</u>	<u>527,126</u>		<u>\$ 8,920,000</u>	<u>2,148,661</u>	<u>25,825,000</u>	<u>6,289,412</u>	<u>32,114,412</u>

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bond issuances shown above. The bonds were issued for the purpose of building and furnishing a new middle school, and refunding outstanding project notes and bonds issued for said purpose. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2029. The bonds are not a general obligation of the District. However,

the debt is subject to the constitutional debt limitations of the District. Annual principal and interest payments on the bonds are expected to require nearly 65% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$32,114,412. For the current year \$1,760,000 in principal and \$1,044,328 in interest was paid on the bonds and total statewide sales, services and use tax revenues were \$4,272,804.

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds includes the following provisions:

- a) \$3,433,640 of the proceeds from the issuance of the revenue bonds shall be deposited to the reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. The balance of the proceeds shall be deposited to the project account.
- b) All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- c) Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- d) Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

Note 8. Bond Defeasement

On December 12, 2012, the District issued \$10,000,000 in revenue bonds with interest rates from 1.375 to 3.00%, released \$412,500 of the March 1, 2009 Series A revenue bond reserve and \$330,500 of the March 1, 2009 Series B revenue bond reserve to partially advance refund \$4,125,000 of outstanding March 1, 2009 Series A revenue bonds with interest rates from 5.10 to 5.35%, and \$3,305,000 of outstanding March 1, 2009 Series B revenue bonds with interest rates from 5.125 to 5.15%.

The proceeds of the refunding issue along with the released debt reserve amounts have been placed in an irrevocable escrow account and have been invested in U.S. Government obligations which have been certified to be sufficient to pay part of the interest of both the March 1, 2009 Series A and B revenue bonds from January 1, 2013 through July 1, 2019 as well as \$4,125,000 of principal of the March 1, 2009 Series A revenue bonds when they become callable on January 1, 2019 and \$3,305,000 of principal of the March 1, 2009 Series B revenue bonds when they become callable on July 1, 2019. The interest due on the March 1, 2009 Series A and B revenue bonds that is not being paid from the escrow account remains the responsibility of the District.

The District is contingently liable in the remote possibility the escrow account is insufficient to pay the refunded bonds. After the principal and interest on all of the outstanding bonds are paid, any remaining funds in the escrow account, together with any interest thereon, will be returned to the District. The new refunding bonds have been added to the appropriate financial statements and schedules.

At June 30, 2017, \$4,125,000 of the refunded March 1, 2009 Series A revenue bonds and \$3,305,000 of the refunded March 1, 2009 Series B revenue bonds are outstanding. Defeasement of principal and interest for the March 1, 2009 Series A revenue bonds for the year was \$0 and \$217,768 respectively. Defeasement of principal and interest for the March 1, 2009 Series B revenue bonds for the year was \$0 and \$169,666 respectively.

Note 9. Other Postemployment Benefits(OPEB)

Plan Description - The District operates a single-employer health plan which provides medical and prescription drug benefits for employees, retirees and their spouses. There are 398 active and 56 retired members in the plan. Retired participants must be age 55 or older at retirement.

The medical/prescription drug coverage is provided through Wellmark. Retirees under age 65 pay the same premium for the medical/prescription drug benefit as active employees, which results in an implicit subsidy and an OPEB liability. The District offers a voluntary early retirement program which provides contributions to individual HRA accounts for qualifying retirees, which results in an explicit subsidy and an OPEB liability.

Funding Policy - The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis.

Annual OPEB Cost and Net OPEB Obligation - The District's annual OPEB cost is calculated based on the annual required contribution (ARC) of the District, an amount actuarially determined in accordance with GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years.

The following table shows the components of the District's annual OPEB cost for the year ended June 30, 2017, the amount actually contributed to the plan and changes in the District's net OPEB obligation:

Annual required contribution	\$	327,109
Interest on net OPEB obligation		(52,641)
Adjustment to annual required contribution		173,693
Annual OPEB cost		<u>448,161</u>
Contributions made		<u>(276,061)</u>
Increase in net OPEB obligation		172,100
Net OPEB obligation beginning of year		<u>(1,754,686)</u>
Net OPEB obligation end of year	\$	<u><u>(1,582,586)</u></u>

For calculation of the net OPEB obligation, the actuary has set the transition day as July 1, 2008. The end of year net OPEB obligation was calculated by the actuary as the cumulative difference between the actuarially determined funding requirements and the actual contributions for the year ended June 30, 2017.

For the year ended June 30, 2017, the District contributed \$276,061 to the medical plan. Plan members eligible for benefits contributed \$381,065, or 57.99% of the premium costs.

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligation are summarized as follows:

Year Ended June 30,	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
2015	\$ 461,881	66.99%	\$ (1,892,264)
2016	359,882	61.77	(1,754,686)
2017	448,161	61.60	(1,582,586)

Funded Status and Funding Progress - As of July 1, 2016, the most recent actuarial valuation date for the period July 1, 2016 through June 30, 2017, the actuarial accrued liability was \$1,930,699 with no actuarial value of assets, resulting in an unfunded actuarial accrued liability (UAAL) of \$1,930,699. The covered payroll (annual payroll of active employees covered by the plan) was \$22,261,586 and the ratio of the UAAL to covered payroll was 8.67%. As of June 30, 2017, there were no trust fund assets.

Actuarial Methods and Assumptions - Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the health care cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past

expectations and new estimates are made about the future. The Schedule of Funding Progress for the Retiree Health Plan, presented as Required Supplementary Information in the section following the Notes to Financial Statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the plan as understood by the employer and the plan members and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

As of the July 1, 2016 actuarial valuation date, the Projected Unit Credit actuarial cost method was used. The actuarial assumptions include a 3.0% discount rate based on the District's funding policy. The ultimate medical trend rate is reduced each year until reaching the 4% ultimate trend rate.

Mortality rates and annual retirement probabilities used in this valuation are the same assumptions used by the July 1, 2016 IPERS actuarial valuation for regular school members. The UAAL is being amortized as a level percentage of projected payroll expense on an open basis over 30 years.

Note 10. Pension Plan

Plan Description - IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general information purposes only. Refer to the plan documents for more information.

Pension Benefits - A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits - A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions - Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2017, pursuant to the required rate, Regular members contributed 5.95% of covered payroll and the District contributed 8.93% of covered payroll, for a total rate of 14.88%.

The District's contributions to IPERS for the year ended June 30, 2017 were \$2,552,750.

Net Pension Liability, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - At June 30, 2017, the District reported a liability of \$25,057,392 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. At June 30, 2016, the District's proportion was 0.398159%, which was a decrease of 0.000852% from its proportion measured as of June 30, 2015.

For the year ended June 30, 2017, the District recognized pension expense of \$3,054,860. At June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 221,458	299,050
Changes of assumptions	382,298	-
Net difference between projected and actual earnings on IPERS' investments	3,569,886	-
Changes in proportion and differences between District contributions and the District's proportionate share of contributions	318,839	55,144
District contributions subsequent to the measurement date	2,552,750	-
Total	\$ 7,045,231	354,194

\$2,552,750 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2018. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended	
June 30,	Amount
2018	\$ 563,848
2019	563,848
2020	1,927,050
2021	1,090,692
2022	(7,151)
	<u>\$ 4,138,287</u>

There were no non-employer contributing entities at IPERS.

Actuarial Assumptions - The total pension liability in the June 30, 2016 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2014)	3.00% per annum.
Rates of salary increase (effective June 30, 2010)	4.00 to 17.00% average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 1996)	7.50% compounded annually, net of investment expense, including inflation.
Wage Growth (effective June 30, 1990)	4.00% per annum, based on 3.00% inflation and 1.00% real wage inflation.

The actuarial assumptions used in the June 30, 2016 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

<u>Asset Class</u>	<u>Asset Allocation</u>	<u>Long-Term Expected Real Rate of Return</u>
Core plus fixed income	28%	1.90%
Domestic equity	24	5.85
International equity	16	6.32
Private equity/debt	11	10.31
Real estate	8	3.87
Credit opportunities	5	4.48
U.S. TIPS	5	1.36
Other real assets	2	6.42
Cash	1	(0.26)
Total	<u>100%</u>	

Discount Rate - The discount rate used to measure the total pension liability was 7.50%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate - The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.50%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate 1% lower (6.50%) or 1% higher (8.50%) than the current rate.

	1% Decrease (6.5%)	Discount Rate (7.5%)	1% Increase (8.5%)
District's proportionate share of the net pension liability	\$ 40,539,470	\$ 25,057,392	\$ 11,990,316

IPERS' Fiduciary Net Position - Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to IPERS - At June 30, 2017, the District reported payables to IPERS of \$320,789 for legally required District contributions and \$213,740 for legally required employee contributions withheld from employee wages which had not yet been remitted to IPERS.

Note 11. Risk Management

Burlington Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage from coverage in the prior year.

Note 12. Categorical Funding

The District's restricted fund balance for categorical funding at June 30, 2017 is comprised of the following programs:

Program	Amount
Home school assistance program	\$ 201,980
Gifted and talented programs	131,397
Teacher leadership state aid	285,249
Four-year-old preschool state aid	647,041
Beginning administrator mentoring and induction program	1,460
Textbook aid for nonpublic students	14,657
Successful progression for early readers	76
Professional development for model core curriculum	337,810
Professional development	208,063
Market factor incentives	1,043
Total	<u>\$ 1,828,776</u>

Note 13. Reconciliation of Governmental Fund Balances to Net Position

Reconciliation of certain governmental fund balance sheets items to the Statement of Net Position are detailed as follows:

	Net investment in Capital Assets	Unassigned/ Unrestricted
Fund balance (Exhibit C)	\$ -	9,407,177
Capital assets, net of accumulated depreciation	75,706,491	-
Revenue bond capitalized indebtedness	(25,825,000)	-
Nonspendable fund balance	-	7,002
Assigned fund balance	-	164,654
Internal service fund	-	454,876
Compensated absences	-	(197,627)
Net OPEB asset	-	1,568,501
Pension related deferred outflows	-	6,878,026
Net pension liability	-	(24,428,776)
Pension related deferred inflows	-	(345,649)
Net position (Exhibit A)	<u>\$ 49,881,491</u>	<u>(6,491,816)</u>

Note 14. New Accounting Pronouncement

The District adopted the tax abatement disclosure guidance set forth in Governmental Accounting Standards Board Statement No. 77, Tax Abatement Disclosures. The Statement sets forth guidance for the disclosure of information about the nature and magnitude of tax abatements which will make these transactions more transparent to financial statement users. Adoption of the guidance did not have an impact on amounts reported in the financial statements. The Notes to Financial Statements include information about tax abatements of other entities which impact the District.

Note 15. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Property tax revenues of the District were reduced the following amounts for the year ended June 30, 2017 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Burlington	Urban renewal	\$ 60,127
City of West Burlington	Urban renewal	1,725
City of West Burlington	Urban revitalization	2,880
Des Moines County	Urban revitalization	149,985

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2017, this reimbursement amounted to \$25,731.

Note 16. Prospective Accounting Change

The Governmental Accounting Standards Board has issued Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions. This statement will be implemented for the fiscal year ending June 30, 2018. The revised requirements establish new financial reporting requirements for state and local governments which provide their employees with postemployment benefits other than pensions, including additional note disclosures and required supplementary information. In addition, the Statement of Net Position is expected to include a significant liability for the government's other postemployment benefits.

Note 17. Due From and Due to Other Funds

The detail of interfund receivables and payables at June 30, 2017 is as follows:

Receivable Fund	Payable Fund	Amount
Enterprise: School Nutrition	Capital Projects: Statewide Sales, Services and Use Tax	\$ 4,831

The Capital Projects: Statewide Sales, Services and Use Tax Fund is repaying the School Nutrition Fund for deposits placed incorrectly into the wrong account.

Required Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES/EXPENSES AND
CHANGES IN BALANCES - BUDGET AND ACTUAL - ALL GOVERNMENTAL FUNDS
AND PROPRIETARY FUND
REQUIRED SUPPLEMENTARY INFORMATION
YEAR ENDED JUNE 30, 2017

	Governmental Funds Actual	Proprietary Fund Actual	Total Actual	Budgeted Amounts		Final to Actual Variance
				Original	Final	
Revenues:						
Local sources	\$ 16,009,076	428,192	16,437,268	16,716,695	16,716,695	(279,427)
State sources	37,857,761	14,623	37,872,384	38,599,123	38,599,123	(726,739)
Federal sources	3,685,850	1,411,460	5,097,310	5,300,000	5,300,000	(202,690)
Total revenues	57,552,687	1,854,275	59,406,962	60,615,818	60,615,818	(1,208,856)
Expenditures/Expenses:						
Instruction	35,168,820	-	35,168,820	36,406,000	36,406,000	1,237,180
Support services	15,342,352	54,310	15,396,662	16,847,720	16,847,720	1,451,058
Non-instructional programs	32,122	1,744,417	1,776,539	2,137,200	2,137,200	360,661
Other expenditures	5,897,781	-	5,897,781	7,216,525	7,216,525	1,318,744
Total expenditures/expenses	56,441,075	1,798,727	58,239,802	62,607,445	62,607,445	4,367,643
Excess(deficiency) of revenues over(under) expenditures/expenses	1,111,612	55,548	1,167,160	(1,991,627)	(1,991,627)	3,158,787
Other financing sources, net	-	-	-	25,000	25,000	(25,000)
Excess(deficiency) of revenues and other financing sources over(under) expenditures/expenses	1,111,612	55,548	1,167,160	(1,966,627)	(1,966,627)	3,133,787
Balances beginning of year	21,198,912	452,662	21,651,574	18,967,835	18,967,835	2,683,739
Balances end of year	\$ 22,310,524	508,210	22,818,734	17,001,208	17,001,208	5,817,526

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - BUDGETARY REPORTING
YEAR ENDED JUNE 30, 2017

This budgetary comparison is presented as Required Supplementary Information in accordance with Government Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except Private Purpose Trust and Agency Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST THREE YEARS*
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2017	2016	2015
District's proportion of the net pension liability	0.398159%	0.399011%	0.406458%
District's proportionate share of the net pension liability	\$ 25,057	19,713	16,120
District's covered-employee payroll	\$ 28,595	27,385	26,607
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	87.63%	71.98%	60.59%
IPERS' net position as a percentage of the total pension liability	81.82%	85.19%	87.61%

* In accordance with GASB Statement No. 68, the amounts presented for each fiscal year were determined as of June 30 of the preceding year.

Note: GASB Statement No. 68 requires ten years of information to be presented in this table. However, until a full 10-year trend is compiled the District will present information for those years for which information is available.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS
IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM
FOR THE LAST TEN YEARS
(IN THOUSANDS)
REQUIRED SUPPLEMENTARY INFORMATION

	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008
Statutorily required contribution	\$ 2,553	2,554	2,445	2,376	2,207	1,932	1,664	1,630	1,535	1,388
Contributions in relation to the statutorily required contribution	(2,553)	(2,554)	(2,445)	(2,376)	(2,207)	(1,932)	(1,664)	(1,630)	(1,535)	(1,388)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
District's covered-employee payroll	\$ 28,586	28,595	27,385	26,607	25,456	23,941	23,942	24,511	24,173	22,942
Contributions as a percentage of covered-employee payroll	8.93%	8.93%	8.93%	8.93%	8.67%	8.07%	6.95%	6.65%	6.35%	6.05%

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION - PENSION LIABILITY
YEAR ENDED JUNE 30, 2017

Changes of benefit terms:

Legislation enacted in 2010 modified benefit terms for Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3% per year measured from the member's first unreduced retirement age to a 6% reduction for each year of retirement before age 65.

Legislative action in 2008 transferred four groups – emergency medical service providers, county jailers, county attorney investigators, and National Guard installation security officers – from Regular membership to the protection occupation group for future service only.

Changes of assumptions:

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FUNDING PROGRESS FOR THE RETIREE HEALTH PLAN
REQUIRED SUPPLEMENTARY INFORMATION

Year Ended June 30,	Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)	
2009	July 1, 2008	-	\$ 7,818,097	\$ 7,818,097	0.00%	\$ 19,546,207	40.00	%
2010	July 1, 2008	-	7,818,097	7,818,097	0.00	19,707,358	39.67	
2011	July 1, 2010	-	5,853,640	5,853,640	0.00	22,082,453	26.51	
2012	July 1, 2010	-	5,853,640	5,853,640	0.00	19,273,327	30.37	
2013	July 1, 2012	-	2,465,701	2,465,701	0.00	20,382,702	12.10	
2014	July 1, 2012	-	2,465,701	2,465,701	0.00	21,615,902	11.41	
2015	July 1, 2014	-	1,894,269	1,894,269	0.00	22,470,904	8.43	
2016	July 1, 2014	-	1,894,269	1,894,269	0.00	22,300,733	8.49	
2017	July 1, 2016	-	1,930,699	1,930,699	0.00	22,261,586	8.67	

See Note 9 in the accompanying Notes to Financial Statements for the plan description, funding policy, annual OPEB cost and net OPEB obligation, funded status and funding progress.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

Burlington Community School District

Supplementary Information

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING BALANCE SHEET
 NONMAJOR GOVERNMENTAL FUNDS
 JUNE 30, 2017

	Special Revenue			
	Management Levy	Student Activity	Support Trust	Total
ASSETS				
Cash and pooled investments	\$ 896,525	429,554	907,027	2,233,106
Receivables:				
Property tax				
Delinquent	10,552	-	-	10,552
Succeeding year	1,756,496	-	-	1,756,496
Accounts	-	-	34	34
Prepaid expenses	-	252	-	252
TOTAL ASSETS	\$ 2,663,573	429,806	907,061	4,000,440
LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES				
Liabilities:				
Accounts payable	\$ 9,670	17,860	11,925	39,455
Deferred inflows of resources:				
Unavailable revenues:				
Succeeding year property tax	1,756,496	-	-	1,756,496
Fund balances:				
Nonspendable	-	252	-	252
Restricted for:				
Management levy purposes	897,407	-	-	897,407
Student activities	-	411,694	-	411,694
Support trust purposes	-	-	895,136	895,136
Total fund balances	897,407	411,946	895,136	2,204,489
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES	\$ 2,663,573	429,806	907,061	4,000,440

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES AND
 CHANGES IN FUND BALANCES
 NONMAJOR GOVERNMENTAL FUNDS
 YEAR ENDED JUNE 30, 2017

	Special Revenue			
	Management Levy	Student Activity	Support Trust	Total
Revenues:				
Local sources:				
Local tax	\$ 1,133,336	-	-	1,133,336
Other	34,828	341,319	34,039	410,186
State sources	30,486	-	-	30,486
Total revenues	1,198,650	341,319	34,039	1,574,008
Expenditures:				
Current:				
Instruction:				
Regular	620,316	-	93,317	713,633
Other	-	323,928	-	323,928
Support services:				
Student	16,552	-	-	16,552
Instructional staff	20,298	-	-	20,298
Administration	107,407	-	-	107,407
Operation and maintenance of plant	203,305	-	-	203,305
Transportation	73,455	-	-	73,455
Non-instructional programs:				
Food service operations	13,980	-	-	13,980
Other enterprise operations	-	-	62	62
Total expenditures	1,055,313	323,928	93,379	1,472,620
Change in fund balances	143,337	17,391	(59,340)	101,388
Fund balances beginning of year	754,070	394,555	954,476	2,103,101
Fund balances end of year	\$ 897,407	411,946	895,136	2,204,489

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING BALANCE SHEET
 CAPITAL PROJECTS FUND ACCOUNTS
 JUNE 30, 2017

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
ASSETS			
Cash and pooled investments	\$ 3,197,792	1,481,386	4,679,178
Receivables:			
Property tax:			
Delinquent	-	8,684	8,684
Succeeding year	-	969,070	969,070
Due from other governments	354,871	-	354,871
TOTAL ASSETS	\$ 3,552,663	2,459,140	6,011,803
LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 17,185	13,934	31,119
Due to other funds	4,831	-	4,831
Total liabilities	22,016	13,934	35,950
Deferred inflows of resources:			
Unavailable revenues:			
Succeeding year property tax	-	969,070	969,070
Fund balances:			
Restricted for:			
School infrastructure	3,530,647	-	3,530,647
Physical plant and equipment	-	1,476,136	1,476,136
Total fund balances	3,530,647	1,476,136	5,006,783
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES	\$ 3,552,663	2,459,140	6,011,803

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 COMBINING SCHEDULE OF REVENUES, EXPENDITURES
 AND CHANGES IN FUND BALANCES
 CAPITAL PROJECTS FUND ACCOUNTS
 YEAR ENDED JUNE 30, 2017

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	997,156	997,156
Other	62,486	1,204	63,690
State sources	4,272,804	31,017	4,303,821
Total revenue	4,335,290	1,029,377	5,364,667
Expenditures:			
Current:			
Support services:			
Instructional staff	429,712	36,559	466,271
Operation and maintenance of plant	-	54,540	54,540
Transportation	-	264,164	264,164
Capital outlay	970,037	150,416	1,120,453
Total expenditures	1,399,749	505,679	1,905,428
Excess of revenues over expenditures	2,935,541	523,698	3,459,239
Other financing uses:			
Transfer out	(3,046,051)	-	(3,046,051)
Change in fund balances	(110,510)	523,698	413,188
Fund balances beginning of year	3,641,157	952,438	4,593,595
Fund balances end of year	\$ 3,530,647	1,476,136	5,006,783

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, STUDENT ACTIVITY ACCOUNTS
YEAR ENDED JUNE 30, 2017

Account	Balance Beginning of Year	Revenues	Expendi- tures	Interfund Transfers	Balance End of Year
<u>SENIOR HIGH SCHOOL</u>					
INTEREST	40	-	40	-	-
ACTIVITY	9,890	67	1,397	(29)	8,531
CHORAL	5,298	4,600	1,058	-	8,840
ORCHESTRA	1,506	2,774	4,267	-	13
BAND	4,488	7,986	3,741	-	8,733
JAZZ BAND	301	-	-	-	301
MUSIC/DRAMA	7,665	-	-	-	7,665
MIDDLE SCHOOL ATHLETICS	6,494	14,984	15,050	-	6,428
FUTURE GRAYHOUND BBALL	5,097	-	145	-	4,952
GENERAL ATHLETICS	127,637	39,162	26,038	29	140,790
FUTURE GRAYHOUND SWIMMING	5,700	-	-	-	5,700
CHEERLEADERS	2,001	5,187	7,108	-	80
ART CLUB	2,049	140	-	-	2,189
KIWANIS KEY CLUB	315	-	45	-	270
PURPLE AND GRAY	184	-	-	-	184
INTERNATIONAL CLUB	258	-	-	-	258
PATHFINDER	18,512	12,215	19,431	-	11,296
ECOLOGY CLUB	2,328	-	406	-	1,922
AP CLUB	-	707	-	-	707
VARSITY CLUB	10,657	22,055	21,421	-	11,291
RENAISSANCE STORE	8,674	-	2,704	-	5,970
COFFEE SHOP	-	2,135	946	-	1,189
GRAYHOUND GRAPHICS	-	212	175	-	37
SOPHOMORE CLASS	247	-	-	-	247
JUNIOR CLASS	8,690	6,695	6,613	-	8,772
SENIOR CLASS	8,833	-	243	-	8,590
NATIONAL HONOR SOCIETY	308	40	-	-	348
STUDENT COUNCIL	547	20,379	17,999	-	2,927
HERO	3,300	12,854	10,252	-	5,902
MATH CLUB	-	26	-	-	26
TECHNOLOGY STUDENT	1,153	1,298	2,451	-	-
DECA	2,589	-	1,896	-	693
BPA CLUB	121	-	50	-	71
DANCE TEAM	3,118	1,025	2,922	-	1,221
COLOR GUARD	18	-	-	-	18
HOUNDS FOR HELP	-	155	36	-	119
SWING DANCE	-	590	128	-	462
GLSA CLUB	-	81	81	-	-
SELF-CONTAINED FUNDRAISER	263	-	-	-	263

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

SCHEDULE 5

Account	Balance Beginning of Year	Revenues	Expendi- tures	Interfund Transfers	Balance End of Year
<u>BOYS ATHLETICS</u>					
CROSS COUNTRY	1,834	1,619	2,623	-	830
BOWLING	1,795	41	674	-	1,162
BASKETBALL	29,474	12,874	15,998	-	26,350
FOOTBALL	32,226	50,588	41,540	-	41,274
SOCCER	2,787	10,021	11,366	-	1,442
BASEBALL	-	16,917	16,917	-	-
TRACK	442	6,393	5,465	-	1,370
TENNIS	468	1,165	1,633	-	-
GOLF	434	744	729	-	449
SWIMMING	13,542	11,010	4,819	-	19,733
WRESTLING	4,411	5,903	8,400	-	1,914
<u>GIRLS ATHLETICS</u>					
BASKETBALL	6,079	9,713	9,097	-	6,695
VOLLEYBALL	3,582	16,483	13,721	-	6,344
SOCCER	585	11,458	10,850	-	1,193
SOFTBALL	2,206	11,100	11,177	-	2,129
TRACK	1,786	814	1,297	-	1,303
TENNIS	841	490	289	-	1,042
GOLF	304	695	710	-	289
SWIMMING	3,269	2,211	1,781	-	3,699
<u>TOTAL HIGH SCHOOL</u>	354,346	325,606	305,729	-	374,223
<u>OTHER BUILDINGS</u>					
JAMES MADISON	17,734	5,351	7,329	-	15,756
OAK STREET	16,401	5,297	5,735	-	15,963
BLACK HAWK	3,958	4,324	4,404	-	3,878
CORSE	283	290	382	-	191
GRIMES	646	225	224	-	647
NORTH HILL	1,187	101	-	-	1,288
SUNNYSIDE	-	125	125	-	-
<u>TOTAL OTHER BUILDINGS</u>	40,209	15,713	18,199	-	37,723
Total	\$ 394,555	341,319	323,928	-	411,946

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES IN SPECIAL REVENUE FUND, SUPPORT TRUST ACCOUNTS
 YEAR ENDED JUNE 30, 2017

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
GUEGLER TRUST	\$ 14,043	-	-	14,043
JOHN H WITTE FOUNDATION	1	-	-	1
DOROTHY LIND MUSIC	547,130	29	72,011	475,148
ED FOUNDATION SP. PROGRAM	4,839	30,793	21,368	14,264
BHS MUSIC PATRONS	55	-	-	55
BHS WAGNER MEMORIAL	4	2,037	-	2,041
BHS W DUKE FIELD IMP	4,035	19	-	4,054
BHS JAMES ANDERS	120,800	1,134	-	121,934
BHS ATH TRACK MAINTENANCE	11,249	27	-	11,276
BELL TRUST	252,320	-	-	252,320
Total	<u>\$ 954,476</u>	<u>34,039</u>	<u>93,379</u>	<u>895,136</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
 SCHEDULE OF CHANGES PRIVATE PURPOSE TRUST FUND, SCHOLARSHIP ACCOUNTS
 YEAR ENDED JUNE 30, 2017

Account	Beginning Net Position	Additions	Deductions	Ending Net Position
BHS ADAMS SCHOLARSHIP	\$ 34,095	72	-	34,167
BHS FARR SCHOLARSHIP	70	-	-	70
BHS E BEDELL MEMORIAL	1,090	10	-	1,100
BHS HABERICHTER MEMORIAL	633	9	-	642
BHS JOHANNSEN SCHOLARSHIP	11,347	6	-	11,353
BHS PERRINE SCHOLARSHIP	2,132	8	-	2,140
WEHMAN SCHOLARSHIP	4,673	10	-	4,683
BHS STUDENT COUNCIL SCHOOL	8,978	-	3,988	4,990
BHS ECOLOGY SCHOOL	174	326	500	-
BHS HUPPENBAUER SCIENCE	7,725	19	6	7,738
BHS BERQUIST MUSIC	17,817	-	-	17,817
BHS J FRANKLIN	38	-	38	-
JEFFERSON NURSE SCHOLARSHIP	700	250	250	700
BILLA SCHOLARSHIP	-	277	-	277
Total	<u>\$ 89,472</u>	<u>987</u>	<u>4,782</u>	<u>85,677</u>

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF REVENUES BY SOURCE AND EXPENDITURES BY FUNCTION
ALL GOVERNMENTAL FUNDS
FOR THE LAST TEN YEARS

	Modified Accrual Basis									
	Years Ended June 30,									
	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008
Revenues:										
Local sources:										
Local tax	\$ 14,414,004	14,352,078	13,728,463	13,247,611	17,829,755	17,686,041	18,141,425	16,866,587	16,638,519	16,463,709
Tuition	734,594	666,068	773,989	747,319	842,761	888,290	844,437	775,253	877,646	756,547
Other	860,478	1,270,050	2,136,096	919,649	1,168,439	1,097,340	1,236,677	1,113,665	1,462,413	2,045,590
Intermediate sources	-	-	-	-	-	-	-	-	11,245	-
State sources	37,857,761	38,162,654	38,633,289	35,713,620	28,951,262	27,776,422	26,764,662	22,741,368	25,981,710	25,541,514
Federal sources	3,685,850	3,462,529	3,523,851	3,667,089	3,457,367	3,743,517	4,152,096	6,271,850	3,143,931	2,023,399
Total	\$ 57,552,687	57,913,379	58,795,688	54,295,288	52,249,584	51,191,610	51,139,297	47,768,723	48,115,464	46,830,759
Expenditures:										
Instruction:										
Regular	\$ 21,932,930	22,030,385	21,265,845	21,038,676	19,880,112	18,657,669	19,000,323	19,278,925	19,065,852	17,869,515
Special	8,197,497	8,509,365	8,374,707	9,004,603	8,563,453	7,802,586	7,537,060	7,262,052	7,026,127	6,863,234
Other	5,038,393	4,275,462	4,073,374	4,407,776	4,167,126	4,109,730	4,274,692	4,375,497	3,840,035	3,771,575
Support services:										
Student	1,862,621	1,877,041	2,036,219	1,942,209	1,879,602	1,771,981	1,690,262	1,761,886	1,740,967	1,555,284
Instructional staff	2,474,561	2,731,018	2,283,938	1,065,944	1,028,208	1,125,093	1,357,465	1,054,141	953,983	976,213
Administration	5,559,996	5,281,751	5,012,281	4,982,721	4,888,832	4,331,694	4,207,196	4,315,120	4,413,901	4,253,989
Operation and maintenance of plant	3,955,927	3,699,216	3,884,968	3,845,625	3,746,172	3,273,056	3,224,202	3,052,580	3,103,472	3,068,225
Transportation	1,489,247	1,523,144	1,451,216	1,482,560	1,410,024	1,301,984	1,181,520	1,030,181	1,095,899	1,089,385
Non-instructional programs	32,122	40,610	56,062	39,651	18,266	21,283	39,689	36,378	28,231	133,491
Capital outlay	1,120,453	1,055,201	1,814,612	2,368,609	2,111,402	4,622,937	10,350,553	6,462,340	13,971,730	11,456,273
Long-term debt:										
Principal	1,760,000	1,730,000	1,695,000	1,655,000	1,695,000	-	-	-	20,557,713	1,800,319
Interest and fiscal charges	1,052,328	1,112,015	1,166,453	1,221,302	1,145,587	1,418,345	1,418,345	1,520,176	1,263,199	547,319
Other expenditures:										
AEA flow-through	1,965,000	2,011,978	2,009,543	1,909,154	1,752,703	1,702,734	1,882,597	1,821,651	1,640,819	1,569,795
Total	\$ 56,441,075	55,877,186	55,124,218	54,963,830	52,286,487	50,139,092	56,163,904	51,970,927	78,701,928	54,954,617

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
YEAR ENDED JUNE 30, 2017

GRANTOR/PROGRAM	CFDA NUMBER	PASS-THROUGH ENTITY IDENTIFYING NUMBER	EXPENDITURES
INDIRECT:			
U.S. DEPARTMENT OF AGRICULTURE:			
IOWA DEPARTMENT OF EDUCATION:			
CHILD NUTRITION CLUSTER:			
SCHOOL BREAKFAST PROGRAM	10.553	FY 17	\$ 229,910
NATIONAL SCHOOL LUNCH PROGRAM	10.555	FY 17	1,145,987 *
SUMMER FOOD SERVICE PROGRAM FOR CHILDREN	10.559	FY 17	35,563
			<u>1,411,460</u>
U.S. DEPARTMENT OF EDUCATION:			
IOWA DEPARTMENT OF EDUCATION:			
TITLE I GRANTS TO LOCAL EDUCATIONAL AGENCIES	84.010	FY 17	<u>1,459,585</u>
SPECIAL EDUCATION - GRANTS TO STATES	84.027	FY 17	<u>7,573 **</u>
CAREER AND TECHNICAL EDUCATION - BASIC GRANTS TO STATES	84.048	FY 17	<u>70,311</u>
REHABILITATION SERVICES VOCATIONAL REHABILITATION GRANTS TO STATES	84.126	FY 17	<u>13,195</u>
TWENTY-FIRST CENTURY COMMUNITY LEARNING CENTERS	84.287	FY 17	<u>295,264</u>
SPECIAL EDUCATION - STATE PERSONNEL DEVELOPMENT	84.323	FY 17	<u>3,162</u>
SUPPORTING EFFECTIVE INSTRUCTION STATE GRANTS	84.367	FY 17	<u>239,297</u>
GRANTS FOR STATE ASSESSMENTS AND RELATED ACTIVITIES	84.369	FY 17	<u>7,722</u>
GREAT PRARIE AREA EDUCATION AGENCY:			
SPECIAL EDUCATION - GRANTS TO STATES	84.027	FY 17	<u>235,956 **</u>
ENGLISH LANGUAGE ACQUISITION STATE GRANTS	84.365	FY 17	<u>3,099</u>
U.S. DEPARTMENT OF HEALTH AND HUMAN SERVICES:			
IOWA DEPARTMENT OF EDUCATION:			
COOPERATIVE AGREEMENTS TO SUPPORT COMPREHENSIVE SCHOOL			
HEALTH PROGRAMS TO PREVENT THE SPREAD OF HIV AND OTHER			
IMPORTANT HEALTH PROBLEMS	93.938	FY 17	<u>385</u>
CORPORATION FOR NATIONAL AND COMMUNITY SERVICE:			
DEPARTMENT OF PUBLIC HEALTH:			
AMERICORPS	94.006	FY 17	<u>17,647</u>
TOTAL			<u>\$ 3,764,656</u>

* - Includes \$138,592 of non-cash awards.

** Total for Special Education Cluster (IDEA) is \$243,529.

Basis of Presentation - The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of Burlington Community School District under programs of the federal government for the year ended June 30, 2017. The information on this Schedule is presented in accordance with the requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only selected portion of the operations of Burlington Community School District, it is not intended to and does not represent the financial position, changes in financial position or cash flows of Burlington Community School District.

Summary of Significant Accounting Policies - Expenditures reported in the Schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, as applicable, either the cost principles in OMB Circular A-87, Cost Principles for State, Local and Indian Tribal Governments, or the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowed or are limited as to reimbursement.

Indirect Cost Rate - Burlington Community School District did not elect to use the 10% de minimis indirect cost rate as allowed under the Uniform Guidance.

SEE ACCOMPANYING INDEPENDENT AUDITOR'S REPORT.

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

Independent Auditor's Report on Internal Control
over Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in Accordance with
Government Auditing Standards

To the Board of Education of Burlington Community School District:

We have audited in accordance with U.S. generally accepted auditing standards and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of Burlington Community School District as of and for the year ended June 30, 2017, and the related Notes to Financial Statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated March 12, 2018.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Burlington Community School District's internal control over financial reporting to determine the audit procedures appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control.

A deficiency in internal control exists when the design or operation of the control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Burlington Community School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, non-compliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of non-

compliance or other matters that are required to be reported under Government Auditing Standards. However, we noted certain immaterial instances of non-compliance or other matters that are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2017 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Burlington Community School District's Responses to Findings

Burlington Community School District's responses to findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. Burlington Community School District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal controls and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of Burlington Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.



NOLTE, CORNMAN & JOHNSON, P.C.

March 12, 2018
Newton, Iowa

NOLTE, CORNMAN & JOHNSON P.C.
Certified Public Accountants
(a professional corporation)
117 West 3rd Street North, Newton, Iowa 50208-3040
Telephone (641) 792-1910

Independent Auditor's Report on Compliance
for Each Major Federal Program and on Internal Control over Compliance
Required by the Uniform Guidance

To the Board of Education of Burlington Community School District:

Report on Compliance for Each Major Federal Program

We have audited Burlington Community School District's compliance with the types of compliance requirements described in U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017. Burlington Community School District's major federal programs are identified in Part I of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Burlington Community School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with U.S. generally accepted auditing standards, the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether non-compliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Burlington Community School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe our audit provides a reasonable basis for our opinion on compliance for each of the major federal programs. However, our audit does not provide a legal determination on Burlington Community School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Burlington Community School District complied, in all material respects, with the types of requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017.

Report on Internal Control Over Compliance

The management of Burlington Community School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Burlington Community School District's internal control over compliance with requirements with the type of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures appropriate in the circumstances for the purpose of expressing our opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Burlington Community School District's internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Burlington Community School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



NOLTE, CORNMAN & JOHNSON, P.C.

March 12, 2018
Newton, Iowa

BURLINGTON COMMUNITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
YEAR ENDED JUNE 30, 2017

Part I: Summary of the Independent Auditor's Results:

- (a) Unmodified opinions were issued on the financial statements prepared in accordance with U.S. generally accepted accounting principles.
- (b) No material weaknesses in internal control over financial reporting were disclosed by the audit of the financial statements.
- (c) The audit did not disclose any noncompliance which is material to the financial statements.
- (d) No material weaknesses in internal control over major programs were noted.
- (e) An unmodified opinion was issued on compliance with requirements applicable to each major program.
- (f) The audit disclosed no audit findings which were required to be reported in accordance with Office of Management and Budget Circular A-133, Section .510(a).
- (g) Major programs were as follows:
 - Child Nutrition Cluster
 - CFDA Number 84.367 - Supporting Effective Instruction State Grants
- (h) The dollar threshold used to distinguish between Type A and Type B programs was \$750,000.
- (i) Burlington Community School District qualified as a low-risk auditee.

Part II: Findings Related to the Financial Statements:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCY:

No matters were noted.

Part III: Findings and Questioned Costs For Federal Awards:

INSTANCES OF NON-COMPLIANCE:

No matters were noted.

INTERNAL CONTROL DEFICIENCIES:

No material weaknesses in internal control over the major programs were noted.

Part IV: Other Findings Related to Required Statutory Reporting:

- IV-A-17 Certified Budget - District disbursements for the year ended June 30, 2017 did not exceed the certified budgeted amounts.

IV-B-17 Questionable Disbursements - No expenditures we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

IV-C-17 Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-17 Business Transactions - Business transactions between the District and District officials are noted as follows:

Name, Title and Business Connection	Transaction Description	Amount
Adam Glasgow, Teacher Owner of Greyhound Painting	Services-Painting	\$65,641
Bryan Bross, Board Member Office Manager at Klingner & Associates P.C. with equity stake	Services-Architect	\$13,966
Office Manager at Geotechnics (division of Klinger & Associates P.C.)	Services-Testing	\$1,374
	Total for board member	<u>\$15,340</u>

According to an Attorney General's Opinion dated July 2, 1990 the above transactions with the teacher do not appear to represent a conflict of interest.

In accordance with the Chapter 279.7A of the Code of Iowa, the above transaction with the board member appear to represent a conflict of interest and appear to exceed the \$2,500 limit set by Chapter 279.7A of the Code of Iowa. We did note this board member was elected during the September 2015 election and that he recuses himself from the approval of bills involving these companies on a monthly basis. However, we were unable to determine in the District's official board minutes that the District bid these services either before or after the board member was elected for the work performed by Klingner and Associates.

Recommendation - Chapter 279.7A of the Code of Iowa states that a board member cannot have a direct or indirect interest in the contract of goods of the school district where the board member would derive a benefit of over \$2,500. Due to this member having an equity stake in the company, however small it may be, and total payments to Klingner & Associates exceeding \$2,500 for the year, it appears to be a conflict of interest and in violation of the Code of Iowa.

In the future, the board of directors should require competitive bids from area businesses. The competitive bids should be presented and acted upon by the District's entire board of directors. Board members that have an affiliation with businesses should recuse himself/herself from voting on the approval of the bid. The approval of the bid with any recusals of board members should be noted in the district board minutes to avoid the appearance of a conflict of interest. We recommend the District contact its legal counsel regarding this issue.

Response - Any and all services will be submitted for competitive bids where a board member may have an affiliation with the business included in the request for proposal. Board members that have an affiliation will recuse from discussion and voting on the proposals and will be duly recorded in the minutes. The opinion from legal counsel is that since the Board member has a small equity interest, they do not see a violation of Section 279.7A.

Conclusion - Reponse accepted

IV-E-17 Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that the coverage is adequate for current operations.

IV-F-17 Board Minutes - We noted no transactions requiring Board approval which have not been approved by the Board.

IV-G-17 Certified Enrollment - We noted during our audit the basic enrollment data certified to the Iowa Department of Education was overstated by 0.66 students.

Recommendation - The District should contact the Iowa Department of Education and the Iowa Department of Management to resolve this matter.

Response - The District's auditors will contact the Iowa Department of Education and the Iowa Department of Management on our behalf to resolve this matter.

Conclusion - Response accepted.

IV-H-17 Supplementary Weighting - No variances in the basic supplementary weighting data certified to the Iowa Department of Education were noted.

IV-I-17 Deposits and Investments - No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-J-17 Certified Annual Report - The Certified Annual Report was filed with the Iowa Department of Education timely, and we noted no significant deficiencies in the amounts reported.

IV-K-17 Categorical Funding - No instances were noted of categorical funding used to supplant rather than supplement other funds.

IV-L-17 Statewide Sales, Services and Use Tax - No instances of non-compliance with the allowable uses of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2017, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 3,641,157
Revenues:		
Sales tax revenues	\$ 4,272,804	
Other local revenues	62,486	4,335,290
		<u>7,976,447</u>
Expenditures/transfers out:		
School infrastructure construction	644,181	
Equipment	139,065	
Other	616,503	
Transfers to other funds:		
Debt service fund	3,046,051	4,445,800
		<u>4,445,800</u>
Ending balance		<u><u>\$ 3,530,647</u></u>

For the year ended June 30, 2017, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

IV-M-17 Board Policies - We noted during our audit some of the District's official board policies appear to have not been kept up to date. All board policies should be reviewed at a minimum every five years and documented when approved and reviewed.

Recommendation - The District should review the board policy book and update all policies that have not been updated within the past five years. The District should take steps to review board policies in a timely manner.

Response -The board policies have been reviewed and those that had not been updated in the last five years will be updated before the end of the school year. A review schedule is now in place to ensure all policies are reviewed on a rotation within a five year plan.

Conclusion - Response accepted.

IV-N-17 Student Activity Fund - In accordance with Chapter 298A.8 of the Code of Iowa and Iowa Administrative Code 281-12.6(1), the purpose of the Student Activity Fund is to account for financial transactions related to the cocurricular and extracurricular activities offered as a part of the education program for students. In the course of our audit questions arose about the propriety of certain items within the Student Activity Fund regarding scholarships. We noted an instance of a scholarship being paid directly from the Student Activity Fund and also an instance of money being transferred from an account within the Student Activity Fund to the Private Purpose Trust Fund.

Recommendation - When funds are fundraised they should be raised for a specific purpose and deposited into the fund that can legally make the purchase. Scholarships are not an appropriate use of funds in the Student Activity Fund, if the District wishes to fundraise for scholarships, the proceeds should be receipted into the Private Purpose Trust Fund. The money transferred to the Private Purpose Trust Fund came from an account that did not have revenue during the year, this gives the appearance that funds were raised in a prior period and the scholarship was given from excess funds raised. It does not appear to be appropriate to be raising funds and then making a decision to redirect the funds for a different purpose.

Response -Business procedure training has been provided to support and secretarial staff explaining the allowable expenditures from the various school funds to ensure that scholarships and other expenditures are paid from the appropriate fund.

Conclusion - Response accepted.